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Wall Street Panic

Money makes money and the money
that money makes
makes more money.

—*Poor Richard's Almanac*

The stock market crash of 1929, which triggered the Great Depression, made many people who lived through it fearful of investing in the market ever again. Many were good savers, but they chose to put their money in safe savings accounts or bank certificates of deposit instead of the stock market, since banks became virtually risk-free (FDIC protected up to \$100,000). These savers' money grew at a slower rate, but they never had to worry about losing it.

Unfortunately, the rate at which their money was growing was outpaced by the increase in the cost of living. The irony is that in trying to avoid risk, this group of conservative savers actually put their money in jeopardy. Because the banks did not provide a high interest rate, their money did not grow while the cost of living skyrocketed.

Young adults need to be prepared for a similar growth in the cost of living expenses. Look at the anticipated increase in prices of everyday objects thirty years from now: